Claims Handling Standards

Introduction

This document outlines the standards and best practices for handling claims files within our organization. Adherence to these guidelines ensures consistency, compliance with regulatory requirements, and the highest level of service to our clients.

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1. Initial Claim Setup

- **Prompt Acknowledgment**: All new claims must be acknowledged within 24 hours of receipt.
- **Accurate Data Entry**: Enter all claimant information accurately, including contact details and policy information.
- **Assignment of Adjuster**: Assign a qualified adjuster based on the claim type and complexity.

2. Communication Standards

- **Initial Contact**: The assigned adjuster must contact the claimant within 48 hours to introduce themselves and explain the claims process.
- **Ongoing Updates**: Provide the claimant with regular updates at least once every two weeks or as significant developments occur.
- **Documentation**: All communications must be documented in the claim notes, including date, time, and summary of the conversation.

3. Investigation Procedures

- **Thorough Investigation**: Conduct a complete investigation to determine liability, including gathering statements, photos, and relevant documents.
- **Timely Action**: Complete the investigation within 30 days unless extenuating circumstances exist.
- **Use of Experts**: Engage specialists (e.g., medical experts, engineers) when necessary to evaluate complex aspects of the claim.

4. Reserves Management

- **Initial Reserve Setting**: Set an initial reserve based on the information available at first notice of loss.
- **Regular Review**: Review and adjust reserves at least every 60 days or when new information arises.
- **Documentation**: Provide justification in the claim notes for any reserve changes.

5. Compliance and Regulatory Requirements

- **Legal Compliance**: Adhere to all federal and state regulations governing claims handling.

- **Fair Claims Practices**: Ensure all actions comply with the Unfair Claims Settlement Practices Act.
- **Privacy Protection**: Maintain confidentiality of all claimant information in accordance with HIPAA and other privacy laws.

6. File Documentation

- **Organized Records**: Maintain a well-organized claim file with all relevant documents, correspondence, and notes.
- **Chronological Notes**: Enter claim notes in chronological order with clear, concise entries.
- **Final Reports**: Upon claim resolution, complete a final report summarizing the claim handling and outcome.

7. Claims Settlement

- **Timely Settlement**: Aim to settle valid claims promptly to reduce costs and maintain client satisfaction.
- **Negotiation**: Employ fair negotiation practices to reach an equitable settlement.
- **Authority Levels**: Adjusters must obtain approval from management for settlements exceeding their authorized limits.

8. Litigation Management

- **Early Identification**: Identify claims with litigation potential early in the process.
- **Legal Coordination**: Work closely with the legal department or external counsel to manage litigated claims.
- **Strategic Planning**: Develop a litigation plan outlining defense strategies and anticipated costs.

9. Fraud Detection

- **Red Flags Awareness**: Be vigilant for indicators of fraudulent activity.
- **Investigation Referral**: Refer suspicious claims to the Special Investigations Unit (SIU) promptly.
- **Documentation**: Document all findings and actions taken regarding potential fraud.

10. Reporting and Communication

- **Status Reports**: Provide regular status reports to management and other stakeholders as required.
- **Significant Developments**: Immediately report any significant developments, such as large reserve changes or potential high-exposure claims.
- **Regulatory Reporting**: Comply with all mandatory reporting requirements to regulatory bodies.

11. Training and Development

- **Continuous Learning**: Adjusters must participate in ongoing training to stay current with industry practices and regulatory changes.
- **Certification**: Maintain any required licenses or certifications in good standing.
- **Performance Reviews**: Participate in regular performance evaluations to identify areas for improvement.

12. Use of Technology

- **Claims Management System**: Utilize the designated claims management software for all file handling activities.
- **Data Security**: Follow all protocols to protect data integrity and prevent unauthorized access.
- **Efficiency Tools**: Leverage available technology tools to enhance efficiency and accuracy.